Two Americans Win the Nobel Prize in Economics

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Two **economists** born in the United States, Robert E. Hall and Michael Woodford, have won this year's Nobel memorial prize in **economics**. The winners were announced Monday in Stockholm, Sweden.

Economics is the study of how people, businesses and governments make choices about money, jobs and goods. Hall and Woodford built **models** that help governments and **central banks** deal with sudden changes in the economy, such as an energy crisis.

The prize group said the winners helped "smooth out the economy's peaks and troughs." That means their work helps keep the economy from swinging too far up or down.

In the 1970s, many countries had high prices and high **unemployment** at the same time. That showed older ideas were too simple. Working separately, Hall and Woodford made better **models** based on how people and businesses really decide to spend.

Woodford said winning was "a tremendous honour" and "a surprise." The prize is presented on Dec. 10.

Word Treasure

economists -- People who study how money, jobs and goods work in a country.

Economics -- Economics is the study of how people use money and make choices about buying and selling.

central banks -- A country's main banks that help take care of its money.

unemployment -- When people who want jobs cannot find one.

models -- Simple ways of showing how something works so people can make predictions.

Background you need

The Nobel Prizes are famous awards that honor people for very important work.

The economy is how a country makes, buys and sells things, and it can go up and down.

Leaders use economists' ideas to help keep prices steady and jobs available.

Break it down

WHO: Economists Robert E. Hall and Michael Woodford
WHAT: They won the Nobel memorial prize in economics
WHERE: The winners were announced in Stockholm, Sweden
WHY: Their models help governments and central banks handle sudden changes in the economy

Why it matters

When the economy stays steadier, families have an easier time keeping jobs and paying for things they need.

Test what you remember

1. Who won the Nobel prize in economics?

- (A) Robert E. Hall and Michael Woodford
- (B) Two astronauts
- (C) Two teachers
- (D) A sports team

2. Where were the winners announced?

- (A) New York City
- (B) Paris, France
- (C) Tokyo, Japan
- (D) Stockholm, Sweden

3. What is economics the study of?

- (A) Stars and planets
- (B) Old buildings
- (C) How people, businesses and governments make choices about money, jobs and goods
- (D) Animals in the ocean

4. What did the winners' models help with?

- (A) Growing plants
- (B) Making movies
- (C) Sudden changes in the economy
- (D) Building bridges

5. What happened in the 1970s?

- (A) Banks closed forever
- (B) Prices and unemployment were both high
- (C) Everyone had a job and prices fell
- (D) The Nobel Prize ended

6. When is the prize presented?

- (A) Oct. 31
- (B) Dec. 10
- (C) July 4
- (D) Jan. 1

Answer key (try the quiz first!): 1: A 2: D 3: C 4: C 5: B 6: B

Questions to think about

1. Michael Woodford (winner): Said winning was a tremendous honour and a surprise.

MY THOUGHTS (at least 20 words):